



AbiLearn

DEVELOPMENT

Economics - Class 10 | Chapter 1 | Deep
Structured NCERT Notes

1. Introduction to Development

What is Development?

Development is the process of growing and becoming better. It refers to **progress in various aspects of life** including **income, education, health, infrastructure, and quality of life**. Development is **not just about economic growth** but also about **improving people's well-being and capabilities**.

The idea of development or progress has always been with us. We have **aspirations or desires** about what we would like to do and how we would like to live. These aspirations **vary from person to person** and **from place to place**.

It is only through a democratic political process that these hopes and possibilities can be achieved in real life. Democracy allows people to **express their development goals, participate in decision-making, and hold governments accountable** for delivering development.

What Development Promises - Different People, Different Goals

Different people can have different developmental goals. What may be **development for one person may not be development for another person.** It may even be **destructive for the other person.**

Different persons have different notions of development because their life situations are different. Therefore, their **aspirations, desires, and goals are also different.**

Examples of different developmental goals:

- **A landless laborer wants more working days and better wages.**
- **A rich farmer wants higher crop prices and cheap labor.**
- **A girl student wants more freedom and opportunities.**

- A **factory owner** wants **more profits and less regulation**.

At times, two persons or groups may seek things which are conflicting.

- **Industrialists** may want to **build factories** for employment and profits, while **tribal people** may want to **protect forests** for livelihood.
- **Building a dam** may benefit **people in cities** with electricity but **displace villagers** who lose their homes.

Two things are quite clear:

- **Different persons can have different developmental goals.**
- **What may be development for one may not be development for the other. It may even be destructive for the other.**

2. Income and Other Goals

Why Income is Important

People want more income. Money, or **material things that one can buy with it**, is one factor on which our life depends. **Higher income means better consumption, better education, better healthcare, and better living standards.**

For most people, income is the most important developmental goal. People seek things that are **most important for them**, that is, those things which can **fulfill their aspirations or desires**. Regular work, **better wages**, and **decent price for crops or other products** all mean **more income**.

However, income is not the only factor that determines quality of life. Money can buy **material goods** but cannot buy **everything that is important for a good life**.

Non-Material Goals

People also seek things like equal treatment, freedom, security, and respect for others. These are **non-material things** that are **equally important** for development. In some cases, these may be **more important than more income or more consumption** because **material goods are not all that you need to live.**

Examples of non-material goals:

- **Equal treatment:** People want to be **treated equally** regardless of caste, religion, gender, or income.
- **Freedom:** People want **freedom to choose their occupation, freedom of speech, and freedom of religion.**
- **Security:** People want **job security, health security, and financial security.**
- **Respect:** People want **respect from others and dignity in their work.**

In some cases, non-material goals are more important than income.

- **A girl may refuse a high-paying job** if it means **compromising her safety or dignity.**

- **Environmental activists** may **oppose development projects** that **destroy forests**, even if those projects create income opportunities.
- **Tribal people** may **resist relocation** from their ancestral lands even if they are promised better housing elsewhere.

Mix of Goals for Development

For development, people look at a mix of goals. The developmental goals are **not only about better income but also about other important things in life.** People want **both material and non-material goods** for a **complete and fulfilling life.**

Development involves a balance between different goals. Sometimes these goals **conflict with each other**, and **trade-offs need to be made.**

Examples of conflicting goals:

- **Economic development vs. Environmental protection.**
- **Industrial growth vs. Agricultural livelihoods.**
- **Urbanization vs. Rural development.**

The developmental goals that people have are not only about better income but also about other important things in life. This is why development must

be **holistic and inclusive**, addressing **multiple dimensions of human well-being**.

3. National Development

What is National Development?

National development means thinking about a fair and just path for all. It involves **thinking whether there is a better way of doing things** that benefits **all sections of society**. National development is **not just about economic growth** but also about **social progress, political freedom, and environmental sustainability**.

Different persons could have different as well as conflicting notions of a country's development.

- **Poor people** may want **jobs, food, and shelter**.
- **Middle class** may want **better education, healthcare, and infrastructure**.
- **Rich people** may want **business opportunities and tax benefits**.
- **Environmentalists** may want **protection of nature and sustainable development**.

National development requires balancing different and sometimes conflicting goals. The government

must **make policies that benefit the majority** while **protecting the interests of marginalized groups**.

4. How to Compare Different Countries or States?

Income as a Criterion for Comparison

To compare countries, their income is considered **one of the most important attributes**. Countries with **higher incomes are more developed** than others with **less income**. Income is a **key indicator of development** because it reflects the **economic capacity** of a country.

However, comparing total income of countries is not meaningful. Different countries have **different populations**, so comparing **total income** does not tell us what an **average person earns**.

So we compare the average income of countries. Average income is the **total income of the country divided by its total population**. It is also called **per capita income**.

Average Income = Total Income of Country ÷ Total Population of Country.

Per capita income is a better measure for comparing development because it shows **what an average person in the country earns**. Countries with **higher per capita income** are considered **more developed**.

World Bank Classification of Countries

In World Development Reports, per capita income is used in classifying countries. The **World Bank** uses per capita income to **categorize countries into different income groups**.

According to World Development Report 2017:

- **Countries with per capita income of US\$ 12,056 per annum and above** are called **rich countries** or **high-income countries**.
- **Countries with per capita income of US\$ 955 or less** are called **low-income countries**.
- **Countries with per capita income between US\$ 956 and US\$ 12,055** are called **middle-income countries**.

Limitations of per capita income as a development indicator:

- **Does not show income distribution** between rich and poor within a country.
- **Does not measure quality of life** such as health, education, freedom, and dignity.
- **Does not consider environmental sustainability.**
- **Does not account for non-economic factors** such as happiness, security, and respect.

Public Facilities

When we think of a nation or a region, besides average income, public facilities are equally significant attributes. Public facilities are **services provided by the government to its citizens.** These are **essential for quality of life and human development.**

Important public facilities include:

- **Infrastructure:** Roads, bridges, railways, airports, and ports.
- **Sanitation:** Clean drinking water, sewage treatment, and waste management.
- **Public transport:** Buses, trains, metro, and urban transport.

- **Health care:** Hospitals, clinics, medical facilities, and vaccination programs.
- **Education:** Schools, colleges, universities, and vocational training.
- **Electricity:** Power supply for homes, industries, and services.
- **Security:** Police, fire services, and disaster management.
- **Social security:** Pensions, unemployment benefits, and insurance.

Public facilities are important because they improve quality of life directly. They also **enable people to earn more income** through better **health, education, transport, and infrastructure.** They help **reduce poverty and inequality** and promote **inclusive development.**

5. Sustainable Development

What is Sustainable Development?

Sustainable development is development that meets the needs of the present without compromising the ability of future generations to meet their own needs. This is the **most important definition** of sustainable development.

Sustainable development means using resources carefully so that future generations can also use them. It involves **balancing economic development with environmental protection.**

Scientists have been warning that the present type and levels of development are not sustainable. Current patterns of **resource consumption and pollution** are **threatening the planet's ability to support life.**

Examples of Unsustainable Development

Some examples of unsustainable development include:

1. Overuse of groundwater:

- **Groundwater is being extracted faster than it can be recharged.**
- **Water tables are falling** in many parts of India.
- **Wells are going dry**, affecting **agriculture and drinking water.**
- **Future generations will face water scarcity** if extraction continues.

2. Exhaustion of natural resources:

- **Fossil fuels** such as **coal, petroleum, and natural gas** are **finite resources**.
- **Forests are being cut down** faster than they can regrow.
- **Minerals are being depleted** through mining.
- **Biodiversity is being lost** due to habitat destruction.

3. Environmental pollution:

- **Air pollution** from vehicles and industries causes **health problems**.
- **Water pollution** from industries and sewage **contaminates water sources**.
- **Soil pollution** from chemicals and waste **reduces agricultural productivity**.
- **Climate change** from greenhouse gas emissions **threatens global stability**.

Why Sustainable Development is Important

Sustainable development is important for several reasons:

- **Survival of future generations:** If we **exhaust resources now**, future generations will **not have enough** to meet their needs.
- **Environmental protection:** Sustainable development **protects ecosystems, biodiversity, and natural resources**.
- **Economic stability:** Efficient resource use supports **long-term economic security**.
- **Social equity:** Sustainable development supports **fair distribution of resources** between rich and poor and between present and future generations.
- **Global responsibility:** Problems like **climate change** affect the **entire planet**, so sustainable development is a **global responsibility**.

6. Human Development Index (HDI)

What is HDI?

Human Development Index (HDI) is a measure used by the **United Nations Development Programme (UNDP)** to **compare development across countries**.

HDI considers **not just income but also other dimensions of development**.

HDI is based on three dimensions:

- **A long and healthy life:** Measured by **life expectancy at birth**.
- **Knowledge:** Measured by **mean years of schooling** and **expected years of schooling**.
- **A decent standard of living:** Measured by **Gross National Income (GNI) per capita**.

HDI provides a more comprehensive picture of development than per capita income alone. Countries with **high HDI** have **better health, education, and income**.

Countries Ranked by HDI

Countries are ranked based on their HDI values:

- **Very High Human Development:** HDI above **0.800**.
- **High Human Development:** HDI between **0.700 and 0.799**.
- **Medium Human Development:** HDI between **0.550 and 0.699**.
- **Low Human Development:** HDI below **0.550**.

Why HDI is better than per capita income:

- **Considers health and education**, not just income.
- **Shows overall well-being** of people.
- **Helps identify areas needing improvement.**
- **Gives a more comprehensive measure of development.**

7. Key Concepts Summary

Important Definitions

Development: Process of growing and becoming better; progress in **income, education, health, infrastructure, and quality of life**.

Per Capita Income: $\text{Average income} = \frac{\text{Total income of country}}{\text{Total population}}$.

Rich Countries: Countries with **per capita income US\$ 12,056 and above** according to the 2017 classification.

Low-Income Countries: Countries with **per capita income US\$ 955 or less** according to the 2017 classification.

Middle-Income Countries: Countries with **per capita income US\$ 956 to US\$ 12,055** according to the 2017 classification.

Public Facilities: Services provided by government such as **infrastructure, sanitation, transport, healthcare, education, and electricity**.

Sustainable Development: Development that meets present needs without compromising future generations' ability to meet their needs.

Human Development Index (HDI): UNDP measure considering **health, education, and income** to compare countries.

Key Points from NCERT

- **Different people have different developmental goals:** What is development for one may not be development for another; it may even be destructive.

- **People seek both income and non-material goals:** Income, equal treatment, freedom, security, and respect for others.
- **Development goals can conflict:** Industrialists vs. tribals, dam builders vs. displaced villagers.
- **For development, people look at a mix of goals:** Not only better income but also other important things in life.
- **Per capita income is used to compare countries:** Total income divided by total population.
- **World Bank classification:** Rich, middle-income, and low-income countries are classified using per capita income.
- **Public facilities are important:** Infrastructure, sanitation, transport, healthcare, and education improve life quality.
- **Sustainable development:** Meets present needs without compromising future generations.
- **Overuse of groundwater and exhaustion of natural resources** are examples of unsustainable development.
- **HDI considers health, education, and income** for comparing development.